

1 · Setup

OpenAI API key

.....

👁

Embedding model

text-embedding-3-small

▼

PDF document

📄

bnm_compliance.pdf

376.2KB

✕

+

Reducto JSON output of that PDF

📄

bnm_compliance.json

167.4KB

✕

+

PDF has 12 pages

☒ Document has a definitions section

Definition pages (1-based) ?

4-5

Build graphs & index

Pipeline ready

Lexical nodes

195

Edges

232

Defined terms

11



Legal document RAG: recursive retrieval on a lexical graph

☒ Ask a question ☐ Lexical graph ☐ Definitions graph

Your question

How can the Board and the CCO manage control functions?

✎

Ask

✓ Done (2 pass(es))

Answer

To effectively manage control functions, both the Board and the Chief Compliance Officer (CCO) have specific roles and responsibilities.

1. **Board's Role:**

- The Board must approve any sharing of compliance function responsibilities between a dedicated compliance unit and other control functions (S 7.4(a)).
- They are also responsible for ensuring that compliance function responsibilities are not shared with the internal audit function, as this can compromise the independent review process (S 7.4(b)).

2. **CCO's Role:**

- The CCO must have overall responsibility for coordinating the identification and management of compliance risk at the institution-wide level (S 7.2(b)).
- The CCO is tasked with ensuring compliance monitoring and testing are carried out consistently across the institution (S 7.2(b)).
- The CCO must ensure independence and ability to focus on the compliance function are not impaired, even if he assumes other control responsibilities (S 7.3).
- It is critical for the CCO to have a sound understanding of compliance risks managed by other control functions and the controls applied to manage these risks (S 7.2(c)).

3. **Coordination and Independence:**

- There must be arrangements for coordination among control functions with the CCO to ensure effective performance of responsibilities. This includes promoting a consistent approach to managing compliance risk and ensuring adequate information flows (S 7.2(d)).
- The independence of the CCO is emphasized, particularly that the CCO of a large institution should not take on responsibilities from other control functions (S 7.6).

4. **Internal Audit:**

- The internal audit function plays a role in providing independent assurance on the effectiveness of the institution's internal controls and risk management systems (1.2(c)).
- There should be a clear separation between the internal audit and compliance functions to ensure the effectiveness of each function (S 9.1).

Overall, effective management of control functions requires clear delineation of responsibilities, coordination among various roles, and maintaining the independence of certain key functions like the CCO and internal audit.

Relevant definitions

board: means the board of directors of a financial institution, including a committee of the board where the responsibilities of the board set out in this policy document have been delegated to such a committee;

chief compliance officer: means the senior officer of a financial institution, however styled, who is the central point of authority for a financial institution’s compliance matters and is responsible for providing an institution-wide view on the management of compliance risk;

control function: a function that has a responsibility independent from business lines to provide objective assessment, reporting or assurance. This includes the risk management function, the compliance function and the internal audit function

▼ Source nodes used (20)

type	page	text
List Item	9	- S 7.6 Notwithstanding paragraph 7.3, the CCO of a large fina
List Item	9	- Independence
List Item	3	- 1.2 Compliance is the responsibility of all officers within a fi
List Item	3	(a) business lines, through appropriate managerial and supe
List Item	3	(b) the compliance function is responsible for ensuring that c
List Item	3	(c) the internal audit function is responsible for providing inc
List Item	9	- S 7.3 Where the CCO also assumes responsibilities for other
List Item	9	- S 7.4 In relation to paragraphs 7.2 and 7.3-
List Item	9	(a) the board must approve the sharing of compliance functi
List Item	9	(b) compliance function responsibilities cannot be shared wi

▼ Full agent trace

Multi-Agent Log

Pass 1

Initial Search Agent

- retrieved 6 nodes, pruned to 6 nodes

Definitions Agent

Retrieved 3 definitions for:

- board** : means the board of directors of a financial institution, including a committee of the board where the responsibilities of the board set out in this policy document have been delegated to such a committee;
- chief compliance officer** : means the senior officer of a financial institution, however styled, who is the central point of authority for a financial institution's compliance matters and is responsible for providing an institution-wide view on the management of compliance risk;
- control function** : a function that has a responsibility independent from business lines to provide objective assessment, reporting or assurance. This includes the risk management function, the compliance function and the internal audit function

Context Fetched for nodes:

- fetched full clauses, added to 5 nodes. 2 new links
- filled nodes with footer context

```
- node_id: ` - S 7.6 Notwithstanding paragraph 7.3, the CCO of ..._614f4361a3bd64ad6
  - node_id: ` - Independence_7e6261e9f5d7eb958e43140add281d2e`
  - node_id: `(a) business lines, through appropriate managerial..._aa6db5e
- link: ["[' - S 7.2 Where compliance function responsibilities..._f9fb2b33eab
- footer info: 5 For example, through representation on a new products commit
- further explore footer?: False

children:
  - node_id: `(a) the board must approve the sharing of complian..._c98e9a5
    - link: ["[' - S 9.1 A financial institution must ensure that t..._9

- node_id: ` - S 7.2 Where compliance function responsibilities..._f9fb2b33eabb778bf
  - node_id: `(a) the allocation of the compliance function resp..._32a2cb8
```

Supervisor Agent

- supervisor: continue

Router Agent

- found 1 nodes to fetch links for
 - ▪ S 9.1 A financial institution must ensure that t..._98d7434318b67e1256f563bf7fd13472
- found 1 nodes to fetch footers for
 - (b) compliance function responsibilities cannot be..._bd4533882412131b8d98e84499fe7d9c
 - Search query: Return paragraph 9.1 to answer the query 'How can the Board and the CCO manage control functions?'

Recursive Retrieval

- 1 nodes with link(s)
- ◦ S 9.1 A financial institution must ensure that t..._98d7434318b67e1256f563bf7fd13472 1 nodes with footer info
 - (b) compliance function responsibilities cannot be..._bd4533882412131b8d98e84499fe7d9c
 - Search query: Return paragraph 9.1 to answer the query 'How can the Board and the CCO manage control functions?'
 - Returned:
 - ▪ 9 Responsibilities of the internal audit functio..._0c30c80e8079513bcfb42217d016f720
 - (c) for the purpose of paragraph 7.2(b), the CCO m..._ef2ecf18947fbf24d2f59a7ad3967864
 - ▪ S 9.2 The internal audit function is required to..._77753d65f6bb7faa073b792cdca96ed7
 - (b) compliance function responsibilities cannot be..._bd4533882412131b8d98e84499fe7d9c

PASS 2

Context Fetched for nodes:

- fetched full clauses, added to 5 nodes. 2 new links
- filled nodes with footer context

```
- node_id: ` - S 9.1 A financial institution must ensure that t..._98d7434318b67e125
  - node_id: ` - 9 Responsibilities of the internal audit functio..._0c30c80
  - node_id: `(a) the allocation of the compliance function resp..._32a2cb8
    - footer info: For example, through representation on a new product
    - further explore footer?: False

- node_id: ` - S 9.2 The internal audit function is required to..._77753d65f6bb7faa6
  - link: ["[' - S 7.2 Where compliance function responsibilities..._f9fb2b33eab

  children:
    - node_id: `(a) the board must approve the sharing of complian..._c98e9a5
      - link: ["[' - S 9.1 A financial institution must ensure that t..._9
```

Supervisor Agent

- supervisor: continue

Router Agent

- found 0 nodes to fetch links for
- found 0 nodes to fetch footers for

Answering Agent

Answer to Query:

To effectively manage control functions, both the Board and the Chief Compliance Officer (CCO) have specific roles and responsibilities.

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Source Nodes:

```
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  - node_id: `Independence_7e6261e9f5d7eb958e43140add281d2e`
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  children:
    - node_id: `(a) the board must approve the sharing of complian..._c98e9a5
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  - node_id: `9 Responsibilities of the internal audit functio..._0c30c86
  - node_id: `(a) the allocation of the compliance function resp..._32a2cb8
    - footer info: For example, through representation on a new product
    - further explore footer?: False

- node_id: `S 9.2 The internal audit function is required to..._77753d65f6bb7faa6
  - link: ["S 7.2 Where compliance function responsibilities..._f9fb2b33eab

  children:
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